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To cite this article: Sean Bottomley (2017) The Origins of Trade Secrecy Law in England, 1600–1851, The Journal of Legal History, 38:3, 254–281, DOI: [10.1080/01440365.2017.1387998](https://doi.org/10.1080/01440365.2017.1387998)

To link to this article: <https://doi.org/10.1080/01440365.2017.1387998>



Published online: 23 Oct 2017.



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# The Origins of Trade Secrecy Law in England, 1600–1851

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## ABSTRACT

This paper examines the origins of trade secrecy law from the beginning of the seventeenth century until *Morison v Moat* (1851), described by the *Oxford History of the Laws of England* as ‘foundational’. The paper reveals something of a conundrum. The first part shows that although the prevalence of guild ordinances would have familiarized many with the concept of ‘lawful secrets’, these provisions could no longer be enforced in the guild courts by the late seventeenth century, or within the wider jurisdiction of the courts of the City of London. Instead, as the second half of the paper shows, it was the law courts proper that came to provide succour to those working trade secrets, allowing them to both restrain employees from using secrets for their own benefit and/or to sell secrets to other parties. This was a halting process, but one that had certainly begun prior to *Morison*.

## I. Introduction

Until very recently, the origins of trade secrecy law were extremely obscure.<sup>1</sup> This is partly because vanishingly little was written on the subject before the second half of the nineteenth century (the topic is first briefly discussed in an 1821 treatise on injunctions), but also because it appears to have been a rather haphazard development, evolving from analogous areas such as copyright and patents, but also from contract and inheritance as well as the longstanding practices of the guilds.<sup>2</sup> *Morison v Moat* (1851),<sup>3</sup> is most commonly cited as the leading case concerning the protection of trade secrets (described in

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<sup>1</sup>Mark Lemley observes that ‘no one can seem to agree where trade secrecy law comes from or how to fit it into the broader framework of legal doctrine’: M.A. Lemley, ‘The Surprising Virtues of Treating Trade Secrets as IP Rights’, 61 *Stanford Law Review* (2008), 312. Similarly, Lionel Bently opens his discussion on the history of confidentiality by noting that ‘the history of the protection of confidential information in general, and the development of the action for breach of confidence more specifically, is obscure’: Lionel Bently, ‘Historical Development of the Law of Confidentiality’, in Tanya Aplin, Lionel Bently, Philip Johnson, and Simon Malynicz, eds., *Gurry on Confidence: The Protection of Confidential Information*, 2nd ed., Oxford, 2012, 12.

<sup>2</sup>Robert Henley Eden, *A Treatise on the Law of Injunctions*, London, 1821, 312. A more substantive discussion appears in Charles Drewry, *A Treatise on the Law and Practice of Injunctions*, London, 1841, 228–236.

<sup>3</sup>9 Hare 241; 68 E.R. 492.

the *Oxford History of the Laws of England* as ‘foundational’).<sup>4</sup> In dispute were the rights to a recipe for ‘Morison’s Universal Medicine’ which had originally been worked in partnership by the father of the plaintiffs and the father of the defendant. By the terms of the original partnership deed, as the ‘inventor and sole proprietor’ of the medicine, James Morison was entitled to two-thirds of the profits ensuing from the partnership, while Thomas Moat, agreeing to ‘devote his whole time and attention to the conduct and promotion of the manufacture and sale of the medicine’, was entitled to one-third of the profits.<sup>5</sup> It was also agreed that J. Morison would communicate the secret of the medicine to T. Moat and two bonds were executed contemporaneously with the partnership deed, one by each of the partners. The condition of both bonds was that neither partner would ‘make known, or divulge or communicate, the said secret to any person or persons whomsoever’, under penalty of £5000, although in J. Morison’s case, an exception was made so that he could communicate the secret to anyone else who was to be admitted into the partnership. In due course, J. Morison passed away leaving his share in the business to his two sons (the plaintiffs), as did T. Moat, leaving his share to his son Horatio Moat, the defendant. Upon this succession in the partnership, it was agreed that the management should be taken over by the Morison brothers.

The partnership expired in March 1851 and the stock divided. Soon after, however, the defendant started to manufacture and sell the medicine and the plaintiffs entered a bill of complaint in chancery seeking to enjoin him. In particular, they claimed that the communication of the secret by T. Moat to his son had been in breach of good faith and the original deed of partnership: he was therefore ‘in possession of the secret unlawfully’.<sup>6</sup> In his answer, C.W. Moat claimed that the secret of the medicine had belonged to the partnership, and that the secret had been communicated to him by the plaintiffs. As observed by Vice Chancellor Turner, ‘the true question [was] whether, under the circumstances of this case, the court ought to interpose by injunction, upon the ground of breach of faith or of contract’. Turner continued

That the court has exercised jurisdiction in cases of this nature does not, I think, admit of any question. Different grounds have indeed been assigned for the exercise of that jurisdiction. In some cases, it has been referred to property, in others to contract, and in others, again, it has been treated as founded upon trust or confidence ... but, upon whatever grounds the jurisdiction is founded, *the authorities leave no doubt as to the exercise of it.*

Turner discussed these authorities in some detail before ordering an injunction restraining the defendant ‘from in any manner using the secret of

<sup>4</sup>William Cornish, ‘Personality Rights and Intellectual Property’, in William Cornish, Stuart Anderson, Ray Cocks, Michael Lobban, Patrick Polden, and Keith Smith, eds., *The Oxford History of the Laws of England*, Vol. XIII, *Fields of Development, 1820–1914*, Oxford, 2010, 985.

<sup>5</sup>9 Hare 242; 68 E.R. 493.

<sup>6</sup>9 Hare 250; 68 E.R. 496.

compounding the medicine'.<sup>7</sup> The order was later confirmed at common law and the injunction made perpetual.<sup>8</sup> As we will see, *Morison* was an important case but Turner took care to show that his decision was based on precedent. Some of the authorities discussed related directly to trade secrets and specific contractual agreements limiting parties from divulging them ('particularly *Yovatt v Winyard*' [1820]),<sup>9</sup> others to breach of faith or contract (most famously *Prince Albert v Strange* [1849]).<sup>10</sup>

Lionel Bently has recently shown that *Albert* added 'only a dimension' to the law of confidentiality and this paper continues in a similar vein, focussing specifically on the law of trade secrecy, tracing its origins from the beginning of the seventeenth century until the time of *Morison*.<sup>11</sup>

The paper is arranged into three parts which although overlapping, are arranged in roughly chronological order. The first part examines trade secrecy in the context of the craft guilds, their courts and the court of the City of London. The second part examines the case law relating to trade secrets until *Morison*. These cases came to form the nucleus of trade secrecy law not only in England but also the United States where they were frequently cited.<sup>12</sup> The final part discusses two cases in more detail, *Green v Folgham* (1823)<sup>13</sup> and *Green v Brock* (1832),<sup>14</sup> and the unusual story of the secret contested in both cases: 'Dr. Johnson's Ointment for the Eyes'.

## II. Trade secrecy in the craft guilds

The adoption of secret working practices was extremely common in early modern manufacturing and science. One of the primary reasons for the founding of the Royal Society in 1660 had been to implement Francis Bacon's manifesto that scholars would write descriptions of particular industries and trades – their 'histories' – which would be made publicly available. In so doing, the society hoped that 'they could change industry as radically as Copernicus and Kepler had changed astronomy'.<sup>15</sup> Such high aspirations, however, were soon disappointed by the refusal of craftsmen to share their secrets and the programme was abandoned.<sup>16</sup>

<sup>7</sup>9 Hare 255, 267; 68 E.R. 498, 503.

<sup>8</sup>9 Hare 267; 68 E.R. 503.

<sup>9</sup>Ibid.

<sup>10</sup>9 Hare 258; 68 E.R. 499.

<sup>11</sup>Bently, 'The Law of Confidentiality', 27.

<sup>12</sup>For example, *Vickery v Welch*, 19 Pick. 523, 36 Mass. 523 (Mass. 1837); *Peabody v Norfolk*, 98 Mass. 452 (Mass. 1868).

<sup>13</sup>1 Sim. & BT 398; 57 E.R. 159.

<sup>14</sup>*Green v Brock* (1832), C 13/1001/51, The National Archives (TNA).

<sup>15</sup>Kathleen H. Ochs, 'The Royal Society of London's History of Trades Programme: An Early Episode in Applied Science', 39 *Notes and Records of the Royal Society of London* (1985), 129.

<sup>16</sup>Even members of the society could prove troublesome. Edmund Wyld, who became a fellow in 1663, informed the society he had developed a technique to soften steel without fire. After the society

The notion that these secrets might be legally cognizable was also widespread, due in large part to guild ordinances and the oaths administered to apprentices. Many of the London guilds (which was by some distance the manufacturing centre of the country) had bye-laws and ordinances restraining their members from revealing or teaching the trade to outsiders. The bye-laws of the worshipful company of clockmakers, promulgated in 1632, enjoined members not to 'discover or disclose any of the lawful secrets concerning the said trade, art, or mystery of clock-making ... which ought in reason and conscience secretly to be kept, without any utterance thereof'.<sup>17</sup> The 1700 bye-laws of the worshipful company of gold and silver wyre drawers went further, proscribing members from not only 'teach[ing] the trade of drawing and flatting of gold and silver wyre ... to any person or persons other than his apprentice', but also that they could not work 'in the said trade with any person or persons whatsoever ... whereby the knowledge or secretts of the trade or any part thereof may be taught to any such person either directly or indirectly'.<sup>18</sup>

These ordinances were aimed at forestalling competition from not only those who worked in similar trades in the City, but also those who worked in the country. In 1601-2, in response to 'the abuse of dyvers of the company who worketh openly', the company of pewterers ordered members to 'reforme' their shops, to ensure that 'pewterers of the country & others shall [not] come to great lyght of farther knowleg to the great hindraunce of the company'.<sup>19</sup> This ordinance was enforced on at least one occasion. In 1625, a Robert Mullins complained that another guild member was 'suffering a goldsmith to worke openly in his shop, which may bee to great prejudice'. It was ordered therefore 'that his shop be made vp with a partition to the top'.<sup>20</sup>

However, the ability of the guilds to enforce measures relating to production and control of craft practices was already dissipating. In *The Clothworkers of Ipswich* (1615), for example, a William Sheninge was prosecuted for practising as a tailor in the city without presenting proof of his apprenticeship – that in effect, he was not a member of the clothworkers' guild.<sup>21</sup> The court of king's bench decided that by the strictures of the

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requested several times to see the process in action, Wylde eventually agreed to enter a recipe: *ibid.*, 147.

<sup>17</sup>The Worshipful Company of Clockmakers, *Chapter and Bye-laws*, London, 1825, 67. An earlier example of this type of clause appears in the 1408 'Articles of the Bladesmiths' (who were later incorporated into the worshipful company of armourers and brasiers), which stated 'that no one of the said trade shall teach his journeymen the secrets of his trade as he would his apprentice' on pain of a 6s. 8d. fine: H.T. Riley, ed., *Memorials of London and London Life in the 13th, 14th and 15th Centuries*, London, 1868, 570.

<sup>18</sup>Guildhall (GL), CLC/L/GF/A/007/MS02449, item 25.

<sup>19</sup>Charles Welch, *History of the Worshipful Company of Pewterers of the City of London Based Upon their Own Records*, 2 vols., London, 1902, 34–35.

<sup>20</sup>*Ibid.*, vol. 2, 84.

<sup>21</sup>Godbolt 253; 78 E.R. 148.

common law, such restriction was illegal: 'the King might make corporations and grant to them that they may make ordinances for the ordering and government of any trade; but thereby they cannot make a monopoly for that is to take away free trade, which is the birthright of every subject'.<sup>22</sup> These ordinances and bye-laws could only be sustained when they were deemed to be codifications of 'immemorial custom' and as many guilds had been founded upon charters and letters patent awarded by the crown, decisions such as *Clothworkers* neutered the legal instruments they had once used to regulate production.<sup>23</sup> Conversely, the London companies, as well as a minority of provincial guilds, were able to invoke such custom and so obstruct entry into protected trades into the 1660s. In the *Mayor of Colchester v Goodwin* (1667), for example, the commonalty of Colchester alleged that Goodwin (a shoemaker) had opened his shop before he had compounded with the town for his liberty and that he had employed a journeyman who had not been resident of the city. This, it was claimed, was contrary to two bye-laws of the city: 'That no foreigner who should be commorant in the borough of Colchester, or Liberties thereof, directly or indirectly should take into his house to use any art, trade, mystery or occupation' and 'that no foreigner at any time directly or indirectly shall open his shop, or set up his trade within the said burrough till he hath compounded with the town for his liberty'.<sup>24</sup> These bye-laws were in turn founded upon custom which had existed 'within the same burrough [since] time out of mind'. Justices Archer and Brown found for the defendant, claiming respectively that the custom was 'naught' and 'not good', and that in any case, the bye-laws exceeded the bounds of whatever had once been the custom of the town.<sup>25</sup> By contrast, Justice Tirrell and Chief Justice Bridgman decided that the second bye-law was consistent with the custom of Colchester, and that this was maintainable, agreeing that although 'common law forbids not any man to exercise a trade anywhere' but that 'a custom may restrain' (Justice Tirrell). Tirrell continued that 'if this by-law had been made by a new

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<sup>22</sup>*Clothworkers* was later cited in *Norris v Staps* (1617, KB). The case was brought by Norris and Trussell, wardens of the Newbury weavers' guild. They complained that Staps had been working as a weaver in Newbury without having joined the local guild in contravention of letters patent awarded by Elizabeth I. However, Lord Hobart held that 'First, the common law did not forbid any man to exercise any trade, were he trained or not trained to it, or to exercise more trades than one ... secondly, that the law, as it now stands, forbids no man to use any trade privately ... Thirdly, that the law, as it now stands, forbids no man to exercise a trade publicly, that hath been an apprentice to it wheresoever': Hob. 211; 80 E.R. 357.

<sup>23</sup>Colin Arthur Cooke, *Corporation, Trust and Company: An Essay in Legal History*, Manchester, 1950, 64.

<sup>24</sup>Cart. 68; 124 E.R. 829.

<sup>25</sup>Justice Archer observed that 'Colchester, a corporation time out of mind, have had a custom time out of mind that no artificer being a foreigner might use a trade within the town. I hold this custom naught', continuing that although 'the publique exercise of a trade within a corporation may be restrained as to foreigners, but in our case the custom is laid against using any mystery in the corporation'. Similarly, Justice Brown asserted that 'this custom is not good; and if it were good, I hold it is not well pursued in making the by-law': Cart. 114; 124 E.R. 859.

corporation, it is a dispute whether it had been good [but] such a law is not against any statute it being good by custom and prescription'. A verdict was thus returned for the defendant on the first bye-law (that Goodwin and his journeyman were permitted to use the art of shoe-making), but for the plaintiff on the second bye-law (that Goodwin could not open a shop to sell his shoes, without obtaining his liberty). This, though, was hardly a resounding victory and as the task of enforcement devolved increasingly to the guild corporations, and then on to individual members, prosecution became ever rarer.<sup>26</sup> Disuse atrophied the authority of these customs, a process illustrated by the searches guilds once undertook for substandard wares, to ensure the quality of the goods members and non-members purveyed. These had once been common, but during the seventeenth century they became ever rarer. The last full scale search by the Pewterers occurred in 1702.<sup>27</sup> The last attempted search by the Goldsmiths occurred on 1 October 1723, when they were refused entry fifteen times.<sup>28</sup>

This explains why a search through the minutes of the court of assistants (the guild's governing committee) of six large London craft guilds reveals only one instance of where a clause relating to teaching or revealing trade secrets to outsiders was prosecuted.<sup>29</sup> In 1687, Henry Harper, an assistant in the company of clockmakers, was accused by his fellow assistants of 'unlawfully teaching the art to persons who never were apprenticed' as well as 'employing foreign aliens'.<sup>30</sup> Harper does not appear to have been especially concerned. The court record continues that 'he would not acknowledge himself to be in any fault, nor would submit himself to the fine or the censure of this court and thereupon the court did voate him to be prosecuted in the exchequer for those practices'.<sup>31</sup> Harper's insolence was ultimately unpunished: there is no indication that a case was filed in exchequer, and the court minute books make no other mention of action being taken against Harper elsewhere.<sup>32</sup>

<sup>26</sup>J.R. Kellett, 'The Breakdown of Gild and Corporation Control over the Handicraft and Retail Trade in London', 10 *Economic History Review* (1958), 385.

<sup>27</sup>Ronald Homer, 'The Pewterers' Company's Country Searches and the Company's Regulation of Prices', in I.A. Gadd and P. Wallis, eds., *Guilds, Society & Economy in London, 1450–1800*, London, 2002, 107.

<sup>28</sup>John Forbes also notes how after the mid-seventeenth century, the Goldsmiths were forced to increasingly rely on various Acts of Parliament for the confirmation of their right to carry out certain duties, and could not rely on custom. 'This decline in the company's powers appears to have mirrored the decline in the powers of the monarchy, as Parliament progressively assumed much of the authority that was formerly the prerogative of the crown': John Forbes, 'Search, Immigration and the Goldsmiths' Company: A Search in the Decline of its Powers', in *ibid.*, 115 and 119.

<sup>29</sup>The six guilds, along with the Guildhall library reference to the index for their court minutes, were The Worshipful Company of Ironmongers, CLC/L/IB/B/002/MS16968 (1555–1895); The Worshipful Company of Gunmakers, CLC/L/GI/B/002 (1637–1788); The Worshipful Company of Clockmakers, CLC/L/CD/B/005/MS03975 (1680–1815); The Worshipful Company of Dyers, CLC/L/DC/B/002/MS32825 (1682–1878); The Worshipful Company of Shipwrights, CLC/L/SD/B/001/MS04598/001 (1728–1806); Welch, *Company of Pewterers*.

<sup>30</sup>GL, CLC/L/CD/B/005/MS03975, f. 73.

<sup>31</sup>GL, CLC/L/CD/B/001/MS02710/002, f. 73.

<sup>32</sup>TNA, IND 1/4527 and IND 1/17073.

The guild framework was not one in which secrets could be protected in the late seventeenth century – not even senior guild members respected secrecy clause(s). The guilds probably recognized this for themselves. As the following section will discuss, inventors were able to sell trade secrets to other parties, sometimes for substantial sums of money. Guild court books record several instances of where they were themselves approached by inventors hawking their secret technology. Doubtless some were charlatans, but it is still telling that not a single recorded sale ever resulted. In 1712, for example, the court minutes of the clockmakers record the entry of ‘A proposall in writing of Mr Samuell Watson’s about an Instrument to discover the hours of the day at sea and several other usefull mathematical matters. Which he therein offered to deliver and sell to the company on certain conditions therein specified’.<sup>33</sup> Watson was a well-known clockmaker: he had made several clocks for Charles II and his timepieces were highly regarded for their accuracy by physicians who used them to measure pulse rates.<sup>34</sup> It is quite likely that Watson had something of value to offer (details are not recorded), but the clockmakers declined to purchase it.<sup>35</sup>

Another potential avenue by which trade secrets might be protected was via the institution of apprenticeship. Upon beginning their seven-year term of service, an apprentice swore oath that he would ‘his said master faithfully serve, his secrets keep, his lawful commandments everywhere gladly do’.<sup>36</sup> A 1794 pamphlet for the instruction of apprentices, prepared by the corporation of London, explained the secrecy clause thus: ‘that is, conceal the particular secrets of his art, trade or science, without divulging or making any one privy to them to the detriment of his master, whose interest may very much depend on a peculiar management and knowledge of his business’.<sup>37</sup> It is also noteworthy that these apprenticeship terms were adopted across

<sup>33</sup>GL, CLC/L/CD/B/001/MS02710/003, f. 125.

<sup>34</sup>J. Wigglesworth, ‘Navigation and Newsprint: Advertising Longitude Schemes in the Public Sphere ca. 1715’, 21 *Science in Context* (2008), 362.

<sup>35</sup>Another detailed example emerges from the court minutes of the clockmakers. In 1711, ‘The master acquainted the court that one Mr Hutchinson had been with him and offered to discover a new Invention or Improvement (as he called it) in watchwork’. The clockmakers deigned to meet with Hutchinson, but decided that the secret was not worth buying. Moreover, forewarned that Hutchinson had invented something, it was ‘ordered that a caveat be entered with the attorney and solicitor-general against any patent to pass to Mr Hutchinson for his pretended invention’: Clockmakers Court Minute Book, 1699–1729, 116–117. Prevented from obtaining a patent, Hutchinson applied to parliament for an act, ‘securing to Mr J. Hutchinson the property of a movement invented by him’. Predictably, the clockmakers opposed Hutchinson’s bill. See the pamphlets circulated by both sides: John Hutchinson, *Reasons for the Bill, Entitled, a Bill for Securing to Mr J. Hutchinson the Property of a Movement Invented by Him for the More Exact Measuring of Time, both in Motion and at Rest; in Answer to Those Offered by the Clock-Makers of London Against it*, London 1712; and The Worshipful Company of Clockmakers, *The Clockmakers Further Reasons Against Mr. Hutchinson’s Bill and Printed Reasons*, London, 1712.

<sup>36</sup>The clause was exceptionally long standing. In 1291, an apprentice spicer had sworn to ‘obey his [Master’s] orders, keep his secrets, guard his goods, warn him of impending damage, &c’. Quoted in Bently, ‘Historical Development of the Law of Confidentiality’, 17.

<sup>37</sup>The corporation of London, *Covenants of an Indenture of Apprenticeship, Familiarly Explained and Enforced by Scripture, for the Use of the Apprentices of the City of London*, London, 1794, 2.



the Atlantic, almost verbatim: one Philadelphia boy beginning an apprenticeship in 1829 swore that he would 'his said master faithfully to serve, his secrets keep, and his lawful commands everywhere faithfully obey'.<sup>38</sup>

Within the City of London, it was the chamberlain who was primarily responsible for adjudicating disputes between masters and apprentices.<sup>39</sup> The chamberlain's court notebooks were searched systematically for cases relating to this secrecy clause from 1786 to 1810, the first quarter century for which the notebooks survive.<sup>40</sup> Of almost 4000 cases, not a single one related to the secrecy clause. One case was found in the notebooks from 1830. John Kensman, an apprentice engraver, was found guilty of 'exposing the secrets of his master's business to foreigners, to the great injury of his master'.<sup>41</sup> Although the chamberlain had the authority to impose custodial sentences of up to two months in Bridewell prison, Kensman was only 'reprimanded ... and ordered home to his Duty'. The leniency of Kensman's punishment, in conjunction with the almost complete absence of cases relating to the secrecy clause, indicate that masters rarely found the clause worth their while to enforce (at least, in the jurisdiction of the chamberlain's court).

It is finally worth drawing out some of the implications of this discussion on craft guilds and trade secrecy for the wider historiographical debate on the role of the guilds.<sup>42</sup> In broad terms, the orthodox view continues to view craft guilds as essentially rent-seeking institutions, a strategy that was effected by imposing strict controls on market entry and production, monitoring labour relations and impeding the introduction of new technology. Wherever the influence of the guilds receded, industrial and commercial development followed (as in England and the Low Countries in the sixteenth and seventeenth centuries). Conversely, Stephan Epstein in particular has propounded a revisionist argument, viewing the guilds much more positively: fixed prices were used to reduce information asymmetries, guild members were offered protection from predatory elites and apprenticeship ensured the transmission of skills and innovation. Within this schema, guilds brought clear economic benefits, and the historiography on English craft guilds is turned on its

<sup>38</sup>Quoted in Catherine L. Fisk, *Working Knowledge: Employee Innovation and the Rise of Corporate Intellectual Property, 1800–1930*, Chapel Hill, 2009, 27.

<sup>39</sup>Although the chamberlain acted primarily as the chief financial officer of the City, it seems that they also took their judicial responsibilities seriously. Of Sir Thomas Harrison, chamberlain from 1751 to 1765, it was written that 'in the nice and important province of deciding the differences between master and 'prentice his sagacity and benevolence were equally conspicuous. He heard with patience, he determined with impartiality, and he spared no pains to remove grievances, to suppress resentments, and effect a lasting reconciliation'. Quoted in Betty Masters, *The Chamberlain of the City of London*, Leeds, 1988, 96.

<sup>40</sup>London Metropolitan Archives (LMA), COL/CHD/AP/04/02/001 to COL/CHD/AP/04/02/006.

<sup>41</sup>LMA, COL/CHD/AP/04/02/012, f. 177.

<sup>42</sup>Battle lines are drawn in S.R. Epstein, 'Craft Guilds in the Pre-Modern Economy: A Discussion', 61 *Economic History Review* (2008), 155; and Sheilagh Ogilvie, 'Rehabilitating the Guilds: A Reply', 61 *Economic History Review* (2008), 175. See also Sheilagh Ogilvie, 'The Economics of Guilds', 28 *Journal of Economic Perspectives* (2014), 169.

head. They apparently survived and prospered for a longer time than hitherto believed and now the debate is whether 'the craft guilds began to decline in the late seventeenth century, in the 1720 and 1730s, or during the second half of the eighteenth century'.<sup>43</sup>

The picture that emerges in this section is one that supports the orthodox position. The legal mechanisms available to guilds for excluding non-members were not, in the main, effective. The judiciary were not sympathetic. Coke's own report on *Clothmakers* explains why he decided Sheninge could not be prosecuted: the exclusion they sought to impose was 'against the liberty and freedom of the subject and are a means of extortion in drawing money ... or of oppression of young tradesmen, by the old and rich of the same trade, not permitting them to work in their trade freely'.<sup>44</sup> English craft guilds had sought to not only exclude non-members, but as articulated in their charters and bye-laws, to restrict access to knowledge about the very 'mystery' of the craft itself. Again, if they had ever existed, the legal mechanisms by which this exclusion might have been effected were now scotched. This was a situation that was at least implicitly acknowledged by the guilds themselves, viz., their failure to ever prosecute members for revealing secrets. Indeed, it appears that not even lowly apprentices could be effectively restrained from sharing confidential information.

### III. Trade secrecy in the superior courts

The direct role of the craft guilds in shaping trade secrecy law can be largely discounted (although in articulating proprietary attitudes towards craft processes, they would have encouraged others to adopt similar attitudes as well).<sup>45</sup> Instead, its development needs to be traced through the decisions of the law courts. This is by no means straightforward. The first point to make is that the law did not, and does not, recognize property rights in trade secrets or information *per se* – but there are legal instruments available to prevent the unwanted disclosure of information that might be said to provide a *de facto* recognition. Specifically, while it is not possible to assign a secret directly, an equivalent effect can be achieved if a transferor reveals the secret to another party, while undertaking not to continue using the secret or to sell it to another party. Similarly, it is possible to restrain an employee from using or divulging a trade secret if they sign a non-disclosure agreement. If these instruments are unavailable or rarely enforceable, then someone using a trade secret must either rely entirely on their own devices to commercialize the secret, or rely on more elaborate ruses. In the late

<sup>43</sup>S.R. Epstein, 'Craft Guilds', 156.

<sup>44</sup>11 Coke 53; 77 E.R. 1218.

<sup>45</sup>The same point is made in Pamela Long, *Openness, Secrecy, Authorship: Technical Arts and the Culture of Knowledge from Antiquity to the Renaissance*, Baltimore, 2001, 10.

seventeenth century, for example, the Elers brothers from Holland introduced multiple improvements to English pottery. Eschewing patents, they attempted to guard their secrets by only employing 'idiots' on separate tasks (lest they deduce the entire manufacturing process for themselves). Unfortunately for the brothers, a native potter by the name of Astbury fooled them into thinking he was an idiot and uncovered their secrets when they employed him.<sup>46</sup> Today, trade secrecy is often justified on the grounds that it obviates the need for exactly these kinds of costly stratagems and this section is particularly concerned with the development of legal instruments to protect trade secrets.<sup>47</sup>

The second point is that there was nothing akin to a substantive body of case law relating to trade secrecy before the 1810s, and the subject rarely appeared in treatises before the second half of the nineteenth century. This not only poses the practical problem of finding relevant cases, but it also requires some caution before arguing that there was a consistency in practice relating to trade secrets. In practical terms, though, there is no reason why the law would have been unable to recognize trade secrets in the seventeenth century, certainly in new technology. Patents of invention had been protected by the common law since at least the beginning of the seventeenth century.<sup>48</sup> Similarly, certain rights to confidentiality and secrecy were also recognized. Elizabethan case law, for example, makes passing reference to attorney-client privilege and *Walfron v Ward* (1654), provides some detail as to what this entailed:

a counsellor at the bar was examined upon his oath to prove the death of Sir Thomas Conye. Whereupon serjeant Maynard urged to have him examined on ... some matters whereof he had been made privy as of Counsel in the cause. But roll chief justice answered, he is not bound to make answer for things which may disclose the secrets of his client's cause, and thereupon he was forborn to be examined.<sup>49</sup>

Several decades after *Walfron*, the courts also started to recognize rights to confidentiality in certain kinds of commercial information. In *Herringman*

<sup>46</sup>John Lord, *Capital and Steam Power: 1750–1800*, London, 1966, 48–49.

<sup>47</sup>*E. I. du Pont de Nemours & Co. v Christopher*, 431 F.2d 1012 (5th Cir. 1970). M.A. Lemley, 'Surprising Virtues', 333–335. David D. Friedman, 'Trade Secret', in Peter Newman, ed., *The New Palgrave Dictionary of Economics and the Law*, Basingstoke, 1998, 604–606.

<sup>48</sup>In *The Clothworkers of Ipswich* (1615), for example, the court of king's bench recognized that 'if a man hath brought in a new invention and a new trade within the kingdom, in peril of his life, and consumption of his estate or stock or if a man hath made a new discovery of anything, in such cases the king of his grace and favour, in recompense of his costs and travail, may grant by charter unto him, that only he shall use such a trade or traficque for a certain time, because at first the people of the kingdom are ignorant, and have not the knowledge or skill to use it: but when that patent is expired the king cannot make a new grant thereof: 11 Coke 53; 77 E.R. 1218.

<sup>49</sup>Quoted in Geoffrey C. Hazard, 'An Historical Perspective on the Attorney-Client Privilege', 66 *California Law Review* (1978), 1071. Hazard does warn, however, that 'taken as a whole, the historical record is not authority for a broadly stated rule of privilege or confidence', *ibid.*, 1070.

*v Clerke* (1681), for example, the plaintiff, a stationer in the City of London, complained that his copyright in *The Worke of Abraham Cowley* had been infringed by the defendants, Edmund Clerke, Abel Swall and Robert Boulter, fellow London stationers.<sup>50</sup> Herringman sought an injunction to prevent the continued sale of *Cowley* and for the defendants to discover certain matters relating to their alleged infringement: in particular, how many books had been sold, 'to whom, and at what rates'.<sup>51</sup> The defendants demurred, claiming that

the relief sought by the said bill is to hinder these defendants ... for the said bill is to discover to whom and to what persons and how many books of the title page in the bill mentioned and at what prices these defendants have sold for the time of 5 years last past which is to discover these defendant's customers and these defendants dealings in trade and their particular correspondents and agents and in [truth] the secrets of their trade and correspondency and manner of dealing.<sup>52</sup>

When the case came to be heard before Lord Nottingham in 1682, he overruled the demurrer, ordering that the defendants 'should put in a full & perfect answer to the plaintiffs bill', but, critically, 'excepting to the discovery of the persons to whome the defendants sold the said bookes'.<sup>53</sup>

Perhaps the earliest case relating specifically to a trade secret was *Childes v Anthony* (1634).<sup>54</sup> The secret was a medicinal recipe for 'drinkable gold', first prepared by the defendant's father Francis Anthony as an 'especial cordial for the health of men'. Despite repeated efforts by the College of Physicians to discredit Francis and his cordial, it became a great commercial success, earning him the patronage of the king himself.<sup>55</sup> At some point probably towards the end of his life, Francis was offered £1000 or £1500 'to communicate the skill of making the same ... for the advantage of himself and advancement of his younger children', with the prospective purchaser promising 'not to practise it in England' until Francis died, 'nor publicly to use the making thereof'.<sup>56</sup> Francis had been 'willing to condescend thereunto' but according to the plaintiff's bill of complaint entered in chancery, he was prevailed upon by his second son John to entrust him with the secret instead, and in return to dis-

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<sup>50</sup>My thanks to Tomás Gómez-Arostegui for bringing *Herringman* to my attention.

<sup>51</sup>*Herringman v Clerke* (1681), C8/301/33, f. 1, TNA.

<sup>52</sup>*Ibid.*, f. 2.

<sup>53</sup>TNA, C 33/259, f. 427.

<sup>54</sup>My thanks to Neil Jones for bringing *Childes* to my attention. The case is also discussed in Neil Jones, 'Aspects of Privity in England: Equity to 1680', in E.J.H. Schrage, ed., *Ius Quaesitum Tertio*, Berlin, 2009, 135.

<sup>55</sup>In 1618, Anthony's *Panacea aurea* carried on its title page an endorsement from James I: 'Numquid ego ANTONIUM puniam, quia Deus illi benedixit?' ('Should I punish Anthony, because God has blessed him?'). Quoted in F.V. White, 'Anthony, Francis (1550–1623)', in *Oxford Dictionary of National Biography*, Oxford, 2004.

<sup>56</sup>*Childes v Anthony* (1634), C 78/436/5, TNA.

pense a portion of the profits to his siblings (allegedly £1000 p.a.).<sup>57</sup> The plaintiffs continued that after the death of Francis, John became the proprietor of the secret and he thereby ‘gained greatly’ but had then failed to pay the monies due to his sister Martha (and wife to Arnold Childes the plaintiff). John pleaded and demurred. In his answer, he denied the promise had been made and that he had ‘with great pain and industry learn[t] ... the secret together with his father’. John also demurred that there was no matter in equity for him to answer, as the general limitation period on personal actions was six years, while the plaintiff’s bill of complaint had only been exhibited (1634) some eleven years after the death of Francis (1623). The case was referred to Sir John Mitchell whose report sided with the defendant on the grounds set out in his demurrer. As such, *Childes* only provides clues concerning the cognoscibility of trade secrets in law. In particular, assuming the figures are remotely accurate, a purchase price of just £1000 to £1500 for an asset yielding £1000 p.a. implies an exceptionally risky venture and the very real likelihood that the investment could be lost. For comparison, contemporaries reckoned that the return on trading capital was usually around 10–12 per cent. A profitable but risky enterprise such as the early voyages of the East India Company might yield around 25 per cent p.a.<sup>58</sup>

It is also noteworthy that the prospective purchaser had agreed not to use the secret until Francis died. This is probably because the two parties did not suppose that Francis could be legally restrained from using the secret; earlier in the fifteenth and sixteenth centuries, courts had invariably declared any restraint of trade to be void, regardless of the circumstances.<sup>59</sup> Indeed, in *Dyer’s Case* (1414), Justice Hull had angrily condemned the plaintiff for binding the defendant from carrying on his trade as a dyer (for six months): ‘you might have demurred upon him that the obligation is void, for that the obligation is against the common law, and by God, if the plaintiff were here, he should go to prison until he paid a fine to the King’.<sup>60</sup>

At around the same time, though, as when negotiations would have been taking place for the prospective sale in *Childes*, this rule was being relaxed and restraints of trade permitted on three conditions: that the contract was voluntary, that the restraint imposed was ‘partial’ (i.e. limited in some way) and made in return for an adequate consideration.<sup>61</sup> In *Rogers v Parrey* (1613), for example, the defendant had broken a voluntary agreement not to work as a joiner in London for a period of twenty-one years in return

<sup>57</sup>*Ibid.*

<sup>58</sup>Richard Grassby, ‘The Rate of Profit in Seventeenth-Century England’, 84 *The English Historical Review* (1969), 725.

<sup>59</sup>Harlan Blake, ‘Employee Agreements Not to Compete’, 73 *Harvard Law Review* (1960), 629.

<sup>60</sup>Y.B. 2 Hen V., fo. 5, pl. 26. Quoted in Mark A. Graber and Howard Gillman, *The Complete American Constitutionalism: Introduction and the Colonial Era*, Oxford, 2015, 314.

<sup>61</sup>Francis died in 1623, so the negotiations for the sale of the recipe would probably have taken place at some point in the 1610s.

for an unspecified sum.<sup>62</sup> The court debated whether such an agreement was legal but eventually ‘the whole court agreed all in this clearly, that as this case here is, for a time certain, and in a place certain, a man may be well bound, and restrained from using his trade’.<sup>63</sup>

The decision in *Rogers*, confirmed by *Broad v Jollyfe* (1620)<sup>64</sup> and *Prugnell v Gosse* (1648)<sup>65</sup> clearly made the transfer and use of trade secrets far more convenient: a purchaser no longer had to wait for the seller to die before they were securely possessed of the secret. More detail on this point emerges in *Burdett v Slaughter* (1693). In 1692, a George Hager approached the plaintiff, informing him that he had invented a ‘new method of whitening hemp, flax and linen’. The two parties entered into articles of agreement whereby Hager agreed that he ‘would not by himself or anyother person nor persons make use of or imploy the said art or invention’ and ‘would engage himself never to divulge or make known the said art or invention to any person or persons whatever save to your orator’.<sup>66</sup> In return, Burdett ‘entered into a bond of two hundred and fifty pounds to the said Hager to pay the same at a certain time upon condition only the said articles were and should be duly formed on the part of the said Hager’ (i.e. when Burdett divulged the secret). Before the end of the seventeenth century, here we can see that the basic contractual structure for the exchange of trade secrets had already emerged.

Matters, however, soon turned sour. As soon as the secret was revealed, Burdett and his associate Thomas Thompson decided it was useless and instigated a suit in chancery seeking the return of his £250 bond. Burdett’s bill of complaint also claimed that Hager was a bankrupt working in confederacy with one Paris Slaughter. When an agreement was reached to pay Hager, Paris would ‘cause summons to be forced on the party’s so drawn in to appear before the said commission of bankruptcy’ and ‘cause violent prosecutions to be made against such parties who are either forced to pay all such bargains or bonds or to compound such clandestine bargains or be ruined by severe prosecutions at law’. This may very well have been true: ten years previously, Hager had been in financial trouble owing money to one Perry Slater – an ominously similar name to Paris Slaughter.<sup>67</sup> In his answer, Hager confirmed that such an agreement to transfer the secret had existed but that Burdett had initially professed himself pleased with the new method. He also denied any connection with Slaughter, although they were both enjoined

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<sup>62</sup>80 E.R. 1012.

<sup>63</sup>*Mitchel v Reynolds* (1711), is more commonly regarded as the leading case on restraints of trade although this is probably misguided considering the prior case law on the subject; Chief Justice Parker cited *Rogers* when delivering the resolution of queen’s bench. 1 P Wms. 181; 24 E.R. 347.

<sup>64</sup>79 E.R. 509.

<sup>65</sup>82 E.R. 919.

<sup>66</sup>*Burdett v Slaughter* (1693), C 6/325/17, m. 1, TNA.

<sup>67</sup>*Hager v Slater* (1683), C 6/246/25, TNA.

from pursuing Burdett for payment of the bond. It was further ordered that the dispute was to go to common law, to establish in particular ‘whether the said defendant Hager hath made his experiments effectual to answer the end of the said articles’.<sup>68</sup> That this was the primary question for the common law court implies that if the secret had worked, then the agreement would have been enforceable and that Burdett would have been obliged to surrender his bond. This is speculative – the common law court decided that the method did not work and that the bond be surrendered and cancelled – but we can still see from the terms of the agreement how the new rules on the restraint of trade facilitated the transfer of trade secrets.<sup>69</sup>

Another trade secrecy case from the period confirms that the utility of the secret itself was critical in deciding whether it would be protected in law, *Jenks v Halford* (1682). The case related to the estate of William Walwyn, a successful and well-known London physician and druggist. He is listed in the *Oxford Dictionary of National Biography* (partly due to his medical activities, but also because he was a prominent Leveller in the 1640s) and his will was proved in the prerogative court of Canterbury, indicating that he left behind a substantial estate.<sup>70</sup> In his will, however, Walwyn made no specific provision for the distribution of his medical notebooks and the secret recipes for the medicines he concocted, and they had entered the possession of one of the sons-in-law, Richard Halford. In his bill of complaint, the other son-in-law, Francis Jenks<sup>71</sup> claimed that ‘at the time of his death [Walwyn] left divers books or papers wherein were written the several ingredients, materials and ways of making the said medicines which were secretts of his own particular invention and supposition, not known by any others and being of such virtue ... the said Mr Walwyn by making and uttering thereof did yearly come five or six hundred pounds’.<sup>72</sup> Jenks now wanted Richard Halford, to pay him half the value of the chattels – ‘and particularly ought to deliver such part and share of the medicines books, papers, receipts, and written directions for making and preparing the said medicines ... [having] ... privately treated with persons for a great sum of money to impart the same to them’.<sup>73</sup>

Halford’s answer admitted that ‘the testator at his death did leave some written notes of the manner of making of the said medicines ... but hopes and is advised that he is not compellable to sett forth or make discovery of

<sup>68</sup>TNA, C 33/281, f. 431.

<sup>69</sup>TNA, C 33/285, f. 1083.

<sup>70</sup>Barbara Taft, ‘Walwyn, William (bap. 1600, d. 1681)’, in *Oxford Dictionary of National Biography*, Oxford, 2004; TNA, PROB 11/365/71.

<sup>71</sup>Although now obscure, Francis Jenks would have been well known to contemporaries as one of London’s foremost radicals. One intemperate speech at Guildhall in 1676 led to an immediate summons before the king and privy council. Unrepentant, Jenks was sent to prison for three months. Gary De Krey, ‘London Radicals and Revolutionary Politics, 1675–1683’, in Tim Harris, Paul Seaward and Mark Goldie, eds., *The Politics of Restoration England*, Oxford, 1990, 138–139.

<sup>72</sup>*Jenks v Halford* (1682), C 6/242/97, m. 1, TNA.

<sup>73</sup>*Ibid.*



the said receipts of instructions'.<sup>74</sup> The answer continued: 'this defendant denyeth that he hath sold or disposed of any of the papers, instructions, or caused the same or any of them to be transcribed, communicated or divulged but hath kept the same and every of them secret'.<sup>75</sup> Thus, the crux of the dispute between the two parties was whether these secret recipes were to be deemed as personal property once belonging to Walwyn, and whether they should be shared between the two sons-in-law. The case came to be heard before Lord Nottingham. The solicitor general, acting for the defence, argued that that 'it was a scandal upon the custom of the City of London to make such receipts and trifles part of a citizen's estate, especially such receipts as these, which for ought appears are only to make strong water'.<sup>76</sup> This was somewhat disingenuous. Halford had re-published his father-in-law's medical pamphlet, *Physick for Families* (comprising largely of patients' 'testimonies'), immediately after his death, along with the following advertisement: 'The medicines are to be had at Mr Richard Halfords being the Corner House in Finsbury, whose assistance the author of these medicines, hath made use of for many years, in the preparation of them, and to whom being link'd by the ties of both nature and friendship, he communicated all his secrets and receipts'.<sup>77</sup> Halford was also responsible for a later edition in 1696.<sup>78</sup> The solicitor general finished by comparing this secret to patents for invention: 'it is not like a new invention, for which a man has a patent, that none but himself for the space of so many years shall use the same; that may vest a property; but in this case there is no colour for it'.<sup>79</sup> Nottingham agreed: 'I will not so far countenance that these kind of recipes (which is only a piece of quackery, and serves only to cheat the people) as to put a value on them in chancery. For aught I know, a recipe to make mince-pies or catch rats may be as valuable'.<sup>80</sup> The chancery order books confirm the printed report, the lord chancellor ordering that 'the plaintiffs said bill doe fraud ... and be absolutely dismissed out of this court'.<sup>81</sup>

Consequently, in cases where the value of the secret was not self-evident, it was all too easy for a disgruntled party to claim that it did not work and renege on a transaction. This may explain why there is not a single reported case relating to the transfer of trade secrets during the eighteenth century, although one unreported case neatly illustrates this problem, *Liveings v Grandison* (1730).<sup>82</sup> The plaintiff, Thomas Liveings, had developed a new compound

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<sup>74</sup>*Ibid.*, f. 2.

<sup>75</sup>*Ibid.*

<sup>76</sup>1 Vern. 61; 23 E.R. 311.

<sup>77</sup>William Walwyn, *Physick for Families*, London, 1681.

<sup>78</sup>William Walwyn, *Physick for Families*, 2nd ed., London, 1696.

<sup>79</sup>1 Vern. 63; 23 E.R. 312.

<sup>80</sup>*Ibid.*

<sup>81</sup>TNA, C 33/259, f. 19.

<sup>82</sup>*Liveings v Grandison* (1730), C 11/83/11, TNA.



manure. According to his bill of complaint, he had been approached by John Villiers, 1st Earl Grandison, who suggested that there would be a market for the manure in Ireland, and that he would be able to assist with obtaining a patent there (Grandison had been appointed to the privy council of Ireland in 1721). Liveings claimed that he 'was at length prevailed on ... to discover to the said Earl your Orators said invention and method of making the said compound manure upon the said earl promising not to discover the same to anyother person or persons whatsoever', Grandison agreeing to pay for an Irish patent and to advance £150 for setting up works.<sup>83</sup> In return, Grandison would receive the first profits until his costs had been recovered, and thereafter the two parties would share the profits equally. However, once the earl learnt the secret, he had decided that the manure was useless 'and gives out in speeches that the said compound manure so invented and found out by your orator is not good for any manner of soil ... and that therefore he will not proceed to promise the said letters patent'. Grandison's answer did not dispute Liveings's principal claims. He admitted that 'the said complainant did discover to this defendant his secrett and method of making and compounding the said manure, upon this defendant promising not to discover the same to any person' and that there had been an agreement to patent and produce the manure in Ireland. He was, however, unwilling to proceed in the venture 'till he was better satisfied that the manure would answer'.<sup>84</sup> Unfortunately, the case never came to a hearing, and it appears that Grandison was never persuaded of the merits of the manure – in 1732, Liveings obtained an Irish patent for his manure, but in his name only.<sup>85</sup>

Despite the relative dearth of cases relating to trade secrets during the eighteenth century, there is abundant evidence to show that manufacturing methods and processes were frequently kept secret for commercial advantage

<sup>83</sup>The agreement was signed on 24 December 1729 – ten months after Liveings had obtained a patent in England (Woodcroft no. 506). Clearly the invention had not been published pursuant to the patent and Liveings still retained the secret of manufacturing the manure. Before the law officers introduced the requirement that all patented inventions had to be properly specified in the 1730s, this 'dual' protection strategy was also employed by other inventors, such as John Dwight discussed below. In 1693, for example, the potter John Dwight entered a bill of complaint in chancery accusing Thomas Wedgwood (Josiah's grandfather) and others of a 'confederacy', who 'by promises of great rewards, inveighed [Dwight's workmen] to instruct or learn them the art or mystery of making and preparing of the said manufactures, as aforesaid'. Although this 'art or mystery' had been patented in 1684 (Woodcroft no. 234) Dwight thought that he was still entitled to retain the secret as well. He proved to be right. The case went to common pleas, where he was successful, and a perpetual injunction was subsequently awarded in chancery. The pleadings for this and other cases involving Dwight are transcribed in Dennis Haselgrove and John Murray, 'John Dwight's Fulham Pottery, 1672–1978: A Collection of Documentary Sources', 11 *Journal of Ceramic History* (1979), 1. For the order mentioning the trial in common pleas and awarding the perpetual injunction, see TNA, C 33/283, f. 832. See also Christine MacLeod, *Inventing the Industrial Revolution: The English Patent System, 1660–1800*, Cambridge, 1988, 64–69.

<sup>84</sup>*Liveings v Grandison* (1730), C 11/83/11, m. 2, TNA.

<sup>85</sup>TNA, HO 42/218. Ultimately, it seems Grandison was right not to inveigle himself into Liveings's scheme. Liveings never profited from his manure and in 1733 'attempted to commute [his patents] for a parliamentary reward, dressing his offer in the guise of philanthropy'. MacLeod, *Inventing the Industrial Revolution*, 98.

(at least, outside the framework of the guilds), especially in sectors such as chemicals and metallurgy, and that trade secrets were being transacted.<sup>86</sup> The earliest *reported* case relating to the transfer of trade secrets was *Seddon v Senate* (1810).<sup>87</sup> The case related to a medicine called *Pastilles Martiales de Montpellier*, or Aromatic Lozenges of Steel.<sup>88</sup> The defendant 'Dr Senate', had sold the recipe for the medicine to a J.B. Farkas for £500 and a third of the profits for as long as he or his wife should remain alive. The form of this 1801 agreement was very similar to those recounted in *Jenks* and *Burdett* at the end of the seventeenth century, confirming that a standardized form for the transfer of trade secrets had already emerged. In particular, Senate undertook not to disclose the secret to anyone else, nor to continue using it himself under a penalty of £5000. Later in 1805, Farkas sold the secret on to the plaintiff J.P. Seddon. As part of the sale, Senate confirmed that 'all other part or share, or proportions, right, title, interest, claim or demand whatsoever of him, to the said medicine, &c.' belonged to Seddon. However, Senate subsequently started to manufacture the medicine again, insisting that the terms of this agreement did not prevent him from doing so: an assertion that became the principal matter in dispute. Initially, Seddon sought and obtained relief in chancery. At a hearing, Lord Eldon ordered that unless Senate entered a security with one of the chancery masters, he would award an injunction to restrain him 'from selling the said medicine'.<sup>89</sup> The dispute next moved on to king's bench, where Seddon sought damages; the four justices gave no credence to Senate's argument. Chief Justice Ellenborough dismissed his actions as 'a manifest breach of his covenant'.<sup>90</sup> Justice Grose was similarly forthright: 'what else could he have meant but that the vendee should have the sole property and vending of the medicine'.<sup>91</sup> Seddon was awarded £100 in damages and the injunction was confirmed in chancery.<sup>92</sup> Unfortunately for Seddon, this was not the end of Senate's malfeasance, and he was obliged to obtain injunctive relief in

<sup>86</sup>For instance, the market for 'proprietary' medicines – virtually coterminous with 'secret' medicines – was a substantial one. In 1802, a new scale was introduced on the stamp duty charged on all drugs and medicines that were not sold by their ordinary or technical names; remedies sold 'wherein the person making, preparing, uttering, vending or exposing to sale the same, hath, or claims to have any occult secret or unknown art for making or preparing the same' were specifically included. The duty was charged at approximately 1/6th of the sale price, and in the first full year of operation (1803), it yielded £33,307. TNA, CUST 118/366. This would imply a total market in proprietary medicines of around £200,000 p.a. which, as a proportion of GDP, would equate to nearly £1.25 billion in 2016. Moreover, this figure is almost certainly an underestimate, as evasion of the duty was common. See generally Chantal Stebbings, *Tax, Medicines and the Law: From Quackery to Pharmacy*, Cambridge, 2017.

<sup>87</sup>13 East 75; 104 E.R. 295.

<sup>88</sup>As with Childes's 'drinkable gold', the *Pastilles* had also acquired a certain notoriety and were censured, for example, in John Corry, *The Detector of Quackery*, London, 1802, 32–33; and in *The Medical Observer*, London, 1806, 284–291.

<sup>89</sup>TNA, C33/576, f. 745.

<sup>90</sup>13 East 75; 104 E.R. 295.

<sup>91</sup>*Ibid.*

<sup>92</sup>Bentley, 'The Law of Confidentiality', 42.

chancery twice more, once in 1812 (when Senate was allegedly selling the same medicine under the name ‘Balm of Mecca’) and again in 1814 (‘Doctor Venel’s Restorative Balsam’).<sup>93</sup>

*Seddon* would appear to confirm that the contractual exchange of trade secrets, as well as the associated obligations not to continue using or divulging the secret, could be readily enforced. Three times Seddon was able to enjoin Senate’s use of his medicine, and his rights were also established at common law. Three years later, however, Lord Eldon expressed reservations concerning the propriety of upholding these agreements in court. *Williams v Williams* (1817) was another case relating to a secret medicine, which on this occasion had been revealed to the defendant by the plaintiff (his father), in anticipation of their forming a partnership together. The son, however, had proceeded to subsume the business for himself, exclude his father and reveal the secret to an unrelated third party. The plaintiff had obtained an injunction to restrain the defendant from taking control of the business, disposing of its assets and from divulging the secret. At a hearing, though, Lord Eldon decided that in the absence of any specific contractual agreement between the two parties concerning the use of the secret, the injunction restraining the defendant from divulging it ought to be dissolved. Moreover, Eldon also intimated that even if there had been a specific undertaking from the defendant not to divulge the secret, none could be enforced:

Upon general principles, I do not think that the court ought to struggle to protect this sort of secrets in medicine, the court is bound indeed to protect them in cases of patents, to the full extent of what was intended by the grant of the patent, because the patentee is a purchaser from the public, and bound to communicate his secret to the public ... whether the principle can be extended to such a case as this – whether a contracting party is entitled to the protection of the court in the exercise of its jurisdiction, to decree the specific performance of agreements, by restraining a party to the contract from divulging the secret he has promised to keep, that is a question which would require very great consideration.<sup>94</sup>

Although Eldon conceded that ‘the present case is not one which calls for the determination [of this question]’ the statement represents a striking reversal of his earlier decision(s) in *Seddon*. Eldon had also heard a similar case earlier in the year, *Newbery v James*, again relating to medicinal recipes.<sup>95</sup> The two medicines had first been prepared in the mid-eighteenth century by the notorious quack, Dr Robert James. One, a powder for the cure of fevers had been patented (which had long since expired). The second,

<sup>93</sup> *Seddon v Senate* (1812), C33/593, f. 1064, TNA; *Seddon v Senate* (1814), C33/593, f. 391, TNA.

<sup>94</sup> 3 Mer. 157; 36 E.R. 61.

<sup>95</sup> 2 Mer. 446; 35 E.R. 1011. For an extensive discussion on *Newbery*, see Lionel Bently, ‘Patents and Trade Secrets in England: the Case of *Newbery v James* (1817)’, in Rochelle Cooper Dreyfuss and Jane C. Ginsburg, eds., *Intellectual Property at the Edge*, Cambridge, 2014, 295–317.

'Analeptic pills' for the cure of gout and rheumatism, had not been patented. In 1747, Dr James had contracted with the plaintiff's late father that he (James) would continue to manufacture the medicines while Newbery would have the exclusive right to retail them. The agreement was renewed in 1755 for an indefinite period, 'so long as either of the parties, their executors, &c., ... should desire' and their respective sons worked together in the same fashion. When, however, the secret passed on to Dr James's grandson, he refused to continue supplying the plaintiff and threatened to disclose the secrets of making the medicines. The younger Newbery now sought a specific performance of the agreement and to enjoin the defendant from disclosing the secrets. Eldon wasted little time dismissing the notion that the fever powders could be protected: it had been patented, and so, in theory, published to the world. More problematic was the second medicine, which had not been patented. Eldon decided, though, that as

the art and method of preparing them were a secret, what signified an injunction, the court possessing no means of determining on any occasion whether it had or had not been violated? This court could do nothing but put the parties in a way to try their legal right by an action. That was the utmost extent to which it would go, and he would not even order the injunction to be continued in the meantime till an action should be tried.

Eldon's concern regarding the practicalities of enjoining the use of a secret was a new one – remember that he had thrice enjoined the defendant in *Seddon* from selling a medicine because the plaintiff alleged that it was the same as the secret one he prepared. More germane was Eldon's concern that if trade secrets became too attractive vis-à-vis patents it might jeopardize their disclosure function. At this time, this would not have been some convenient legal fiction.<sup>96</sup> From around the second quarter of the eighteenth century, patents came to be conceived contractually – that in return for the temporary right to exclude other parties from using their technology, the patentee was obliged to submit a detailed written description of their invention at the court of chancery.<sup>97</sup> The courts placed considerable emphasis on the accuracy of these written descriptions (termed specifications) and during a period when technical information was not often available in writing, they came to form a uniquely reliable corpus of the latest industrial technology. Their value is

<sup>96</sup>Nor hopelessly retrograde; identical concerns were expressed in dissenting opinion to the supreme court of the United States's decision in *Kewanee Oil Co. v. Bicron Corp.* (1974), for example. In *Kewanee*, the supreme court confirmed that state laws providing for injunctive relief and damages for the misappropriation of trade secrets did not conflict with federal patent law: 416 U.S. 470. In his dissenting opinion, Justice Douglas argued that 'The conflict with the patent laws is obvious. The decision of Congress to adopt a patent system was based on the idea that there will be much more innovation if discoveries are disclosed and patented than there will be when everyone works in secret. Society thus fosters a free exchange of technological information at the cost of a limited 17-year monopoly': 416 U.S. 496–497.

<sup>97</sup>On the development of the specification requirement, see Sean Bottomley, *The British Patent System During the Industrial Revolution*, Cambridge, 2014, 46–49, 88–91.

evident from their frequent publication – patent specifications formed the major part of the material published by technical journals in the first half of the nineteenth century.<sup>98</sup>

Nonetheless, subsequent cases re-established the enforceability of trade secret agreements. Most importantly, the legality of restraints of trade in relation to trade secrets was re-affirmed in *Bryson v Whitehead* (1822).<sup>99</sup> The plaintiff and his son-in-law were in possession of ‘a particular mode of dying bombazeens and stuffs’, a secret which ‘was esteemed of great value’. Upon retirement, Bryson sold his business to the defendants for £1500, and the secret separately for £1000. As part of the agreement for assigning the secret, Bryson and his son-in-law undertook not to work as dyers for the next twenty years, within fifty miles of Spitalfields parish. The terms of this agreement had been subsequently disputed by the defendant, who believed that the distance of fifty miles was not sufficiently restrictive. Bryson had now filed a bill in chancery for performance of the original agreement. Vice Chancellor Leach confirmed that ‘although the policy of the law will not permit a general restraint of trade, yet a trader may sell a secret of business and restrain himself generally from using that secret’ and he referred the matter to a master in chancery, to settle a new deed to the satisfaction of both parties, with ‘a general covenant to restrain the use of the secret for twenty years, and a limited covenant, in point of locality’.<sup>100</sup> The decision in *Bryson* was later cited in *Vickery v Welch* (1837), where it was decided that conveying the ‘exclusive right and art or secret manner of making chocolate and all information pertaining to his said manner of making chocolate’ did not constitute restraint of trade, Justice Putnam noting that ‘It was contended for the defendant that this obligation was void as being in restraint of trade. But we cannot suppose that the case comes within that doctrine, *Bryson v Whitehead*’.<sup>101</sup>

After *Bryson*, the multiplicity and complexity of transactions involving trade secrets began to increase. To give one example, in *Carter v Goetze* (1838), the defendant had agreed to sell the plaintiff a secret mode of manufacturing ‘sterine’ (the German term for sterols) from palm oil and vegetables, and to refine sterol oil.<sup>102</sup> The terms of the agreement were designed to avert the same problems that had scuppered those discussed in *Burdett* and *Liveings*: in addition to the usual terms, it was agreed that prior to the sale Goetze would refine sterine on the plaintiff’s premises, ‘in such a way as to enable the Plaintiff to ascertain the expense thereof, as far as could be done

<sup>98</sup>See *ibid.*, 177–201.

<sup>99</sup>1 Sim. & St. 74; 57 E.R. 29.

<sup>100</sup>1 Sim. & St. 77; 57 E.R. 31.

<sup>101</sup>*Vickery v Welch* (Mass. 1837), 19 Pick. 527, 36 Mass. 527. *Bryson* was also referenced by Chancellor Walworth in *Jarvis v Peck* (N.Y. Ch. 1843), 10 Paige Ch. 118, 124.

<sup>102</sup>2 Keen 581; 48 E.R. 752.

without disclosing the secret'. If the sterine and oil produced by Goetze's secret process were found to be suitable by independent referees, then Carter would be bound to purchase it. The dispute arose because Carter claimed that the defendant's process was only able to work by adding '*some article* which he brought in two stone bottles and the nature of which he never communicated' (original italics). At a chancery hearing, Goetze was ordered to reveal his secret process in full, in accordance with his agreement with the plaintiff.<sup>103</sup>

The courts were also beginning to enable employers to restrain their employees from using or divulging secrets for their own benefit. A draft copy of a journeyman's employment contract at the calico printing works of Thomas Marlar and Jacob Watten represents an early attempt to do so, surviving from 1715.<sup>104</sup> Part of the draft reads 'the said AB have severally promised and agreed never to learn, discover or teach the said business to any other person or persons, nor to sett up the same business themselves', and that if they did so, their employment contract would be terminated. The use of 'AB' indicates that the draft was probably a template, and the clause frequently adopted (at least, in Marlar and Watten's calico works); in 1715, this clause was most likely enforceable. The potter John Dwight, for example, accused a 'confederacy' of his competitors of inveigling his workmen away, 'to instruct or learn [the confederacy] the art or mystery of making and preparing of the said manufactures'.<sup>105</sup> He was ultimately able to prove his case in common pleas and obtain a perpetual injunction in chancery. Dwight's invention, however, was protected by patent, and, although the details of the judgment are lacking, the case should probably be seen in the context of patent infringement.

A century later, though, in *Yovatt v Winyard* (1820), the plaintiff sought to enjoin an old assistant from selling (unpatented) medicines he had once been employed in preparing.<sup>106</sup> The agreement had been that Winyard would be paid a salary and taught the general knowledge of the business – but specifically not the mode of composing the medicines.<sup>107</sup> At some point Winyard had apparently obtained access to Yovatt's recipe book, copied the recipes, and was now selling the medicines. Pre-emptively, plaintiff's counsel distinguished the case from *Williams* and *Newbery*: 'contending that though the court might not protect a secret from disclosure by one to whom the proprietor had himself communicated it, yet it would, when the person sought to be restrained had clandestinely possessed himself of it'. Lord Eldon concurred, granting the injunction 'upon the ground of there having been a breach of

<sup>103</sup>For a case at common law, see *Home v Booth* (1842), 3 Man. & G. 709; 133 E.R. 1325.

<sup>104</sup>LMA, ACC/0097/001.

<sup>105</sup>See text at note 83.

<sup>106</sup>1 Jac. & W. 394; 37 E.R. 425. For the bill of complaint, TNA, C13/2349/76.

<sup>107</sup>1 Jac. & W. 394; 37 E.R. 426.

trust and confidence' (and it will be remembered that this authority was especially instructive for Turner's decision in *Morison*).<sup>108</sup>

*Yovatt* indicates that employees had a proprietorial control over their business's trade secrets vis-à-vis their employees, that would have supported contracts of the kind Thomas Marlar and Jacob Watten used.<sup>109</sup> Moreover, the very same obligations that were explicated in Marlar and Watten's employment contract, came to be seen as *implicit* in employment contracts. In *Evitt v Price* (1827), for example, the plaintiffs entered a bill of complaint, seeking to prevent the defendant, formerly their accountant, from 'communicating any of the Information possessed or acquired by him relating to the said co-partnership, or the Affairs or Secrets thereof discovered to him, in the course of his employment.'<sup>110</sup> Price had never entered any formal obligation to confidentiality to the partnership, but the plaintiff still obtained the injunction by citing general practice as concerned attorney-client confidentiality (specifically, *Cholmondeley v Clinton* [1815]).<sup>111</sup>

#### IV. Trade secrecy and production

The law was beginning to enable inventors and manufacturers to commercialize trade secrets in a more expansive and ambitious manner than had previously been the case, be it through selling the secret on to another party, or by taking on employees and restraining them from using the secret on their own account. This, though, was a gradual process, explaining one of the recurrent features of the cases discussed so far: almost all of them related to medicinal or chemical processes. These were sectors where the final product was not susceptible to reverse engineering, and, because output was high in value but low in physical volume, tight control of production was commercially viable. This corroborates quantitative work by Petra Moser, which shows that only 5 per cent of 638 British and American chemical and metallurgical exhibits at the Great Exhibition of 1851 were patented (the inference being that trade secrecy was widely preferred as a strategy for commercializing new inventions in these sectors), compared with 28 per cent of 711 machinery and engineering exhibits (where patents

<sup>108</sup>There had been a similar case to *Yovatt*, heard seven years earlier (*Canham v Jones* (1813), 2 V. & B. 218; 35 E.R. 302), where Vice Chancellor Plumer had refused to enjoin the defendant (and previously a servant of Canham) from manufacturing 'Velnos' vegetable syrup'. The primary reason for Plumer's decision, though, was that the defendant (as acknowledged in the plaintiff's original bill of complaint), was not making the self-same syrup as the plaintiff.

<sup>109</sup>On this point, see also *Makepeace v Jackson* (1813) 4 Taunt. 770; 128 E.R. 534.

<sup>110</sup>1 Sim. 483; 57 E.R. 659. Note also Chief Justice Best's observation in *Beeston v Collyer* (1827): 'if it was proved that the [employee] betrayed the secrets of his employer, or was guilty of other misconduct, that would justify his dismissal without any notice'. 2 Car. & P. 609; 172 E.R. 277.

<sup>111</sup>19 Ves. Jun. 261; 34 E.R. 515.



were preferred).<sup>112</sup> When, however, the Periodic Table was introduced in 1869, facilitating reverse-engineering, patenting rates of chemical exhibits at the great fairs increased markedly.<sup>113</sup>

This final section brings together a closer analysis of how the law of trade secrecy influenced actual business practices, by examining the unusual story of ‘Doctor Johnson’s Ointment for the Eyes’ and two cases relating to it (*Green v Folgham* [1823] and *Green v Brock* [1832]).<sup>114</sup> The ointment was a salve that when applied to the skin around the eye purported to cure various disorders. In a document prepared by the proprietor of the ointment in the 1860s, the recipe was traced back to 1596, when it was ‘discovered’ by a Dr Johnson, a physician living in Vauxhall.<sup>115</sup> Upon Johnson’s death in 1635, it was then bequeathed to a George Hind(e), then onto his son William, then to his daughter and her husband Thomas Singleton (d.1779) and in turn to their son William Singleton.<sup>116</sup> Corroborative evidence for this lineage is offered by an advertisement placed by George Hinde for ‘Dr Johnson’s Famous Yellow Ointment’ in the journal *General remarks on trade* placed in 1707 – although unless George Hinde was impossibly long-lived, it seems that we are missing a generation or two.<sup>117</sup> Extraordinarily, the nostrum remained in production until 1975 – some 400 years after Dr Johnson’s had begun – although the recipe may have changed during this time.<sup>118</sup>

William Singleton settled the right and recipe of the ointment onto his daughter Selina, when she married Timothy Folgham in 1794. At the time

<sup>112</sup>Petra Moser, ‘Innovation without Patents: Evidence from World’s Fairs’, 55 *Journal of Law & Economics* (2012), 58.

<sup>113</sup>In 1851, for example, not a single American chemical exhibit had been patented (zero out of thirty-two), whereas at the 1893 World’s fair, twelve out of sixty-three chemical exhibits were patented (19 per cent): *ibid.*, 65.

<sup>114</sup>1 Sim. & St. 403; 57 E.R. 161; *Green v Brock* (1832), C 13/1001/51, TNA.

<sup>115</sup>LMA, B/SIN/002.

<sup>116</sup>LMA, B/SIN/001. Besides advertisements in the London papers, the medicine re-appears in the documentary record in around 1779, when James Bolton, a general medicinal retailer, began to issue handbills advertising the sale of ‘Dr Johnson’s Yellow or Golden Ointment. Prepared by T. Singleton’ at his establishment. In what is erroneously regarded as the first reported case concerning trademarks, W. Singleton determined to litigate the matter at common law, in order to obtain damages and costs for Bolton’s fraudulence. *Singleton v Bolton* (1783), 3 Doug. 293; 99 E.R. 661. For a full discussion on *Singleton*, see Lionel Bently, ‘The First Trademark Case at Common Law? The Story of *Singleton v Bolton* (1783)’, 47 *UC Davis Law Review* (2014), 969.

<sup>117</sup>*Ibid.*, 972.

<sup>118</sup>Peter Homan, ‘Singleton of Lambeth’s Eye Ointment’, 275 *The Pharmaceutical Journal* (2005), 808. An analysis of secret medicines undertaken by the British Medical Association in 1909, noted that the ‘active’ ingredient was ‘7.4% red mercuric oxide in a base containing a mixture of beeswax, lard, Japan wax and coconut oil’. The BMA’s analysis also gives some clue as to how the ointment may have appeared to work. Red mercuric oxide is a known irritant to the eyes. In acting to expel the red mercuric oxide, the eyes may also have expelled whatever was the original irritant. One testimony (among the hundreds collected by the ointment’s proprietors) is particularly noteworthy. In 1799, William received a testimonial from the war office, signed by the duke of York, declaring the great value of the ointment when used on campaign by the British army in Egypt, where large numbers of soldiers, whose eyes were affected by the hot desert sand, were ‘perfectly cured by its use’. Quoted in Homan, ‘Singleton of Lambeth’, 808. British Medical Association, *Secret Remedies, What They Cost and What They Contain*, London, 1909, 142–143.



of the marriage, William did 'agree and undertake that he would faithfully and effectually reveal and disclose the art or secret and method of preparing and compounding the said ointment ... and that neither he or the said Elizabeth Singleton his wife should or would reveal or disclose the same to any other person'.<sup>119</sup> It was also directed that when the survivor of the younger couple died, the secret should be sold for the benefit of their children (assuming there was multiple issue). The recipe was accordingly 'left sealed up for that purpose' and when William died, the recipe was delivered by the executors of the will to Selina Folgham. She prepared and sold the ointment until she retired, letting her eldest son William Singleton Folgham take over. When Selina died in 1816, however, W.S. Folgham continued running the business, rather than sell the recipe for the benefit of his siblings. With the surviving executor of his grandfather's will, he arranged via deed poll for the profits of the business to be divided equally between himself and his four siblings, but that in addition to the costs of the business he should retain one quarter of all revenues 'for his trouble'. After several years, however, his sister Selina Elizabeth Green along with her husband Stephen Green, entered a bill of complaint into chancery, claiming that the portion of money reserved to her brother was a 'much greater proportion of the said monies ... than he ought' (circumstances that are strikingly similar to those of *Childes* some 200 years previously). W.S. Folgham had also persuaded his sister to relinquish her one fifth share in the secret in return for a £100 annuity. This, it was claimed, he had achieved with fraudulent representations and she now requested that the secret be sold, in accordance with her grandfather's original settlement.

In his answer, W.S. Folgham insisted that he had been initially unaware of the 1794 deed, and had made the offer to Selina Elizabeth in an effort to clear up the legal situation: 'owing to the peculiar nature of the business so conducted by defendant in preparing and selling said ointment and the doubts as to what interest if any the brothers and sisters of the defendant had therein ... it was thought highly advisable ... that he should execute such deed [poll]'.<sup>120</sup> But he also admitted that he wanted to prevent Selina Elizabeth's husband from encroaching into the business: 'for the purpose principally of avoiding the great injury which all interested in said business would experience from plaintiff Stephen Green having any right to interfere therein'. He requested that the deed poll remain operative. During the hearing, his counsel expanded on this argument – in particular, they asserted that the original trust could not be put into operation as it concerned 'a mere verbal secret: it was never committed to writing. Now can the court perform a trust which is

<sup>119</sup>LMA, B/SIN/004, ff. 1–7. *Green v Folgham*, C 13/274/13 (Chancery 1823).

<sup>120</sup>LMA, B/SIN/004, f. 37.

fastened upon a substance so shadowy as this? ... There can be no property in a subject of this nature'.<sup>121</sup>

The case was heard before Vice Chancellor Leach. He decided that by the terms of the original settlement, the trustee and W.S. Folgham, had had no authority to agree the deed of 1816. He therefore ordered that he would have to account for the profits made. However, Leach did not direct a sale of the secret: 'inasmuch as the court has no possible means either to communicate this secret to a purchaser with certainty, *or to protect him in the enjoyment of it*, a sale become impracticable' (own italics). Instead, he ordered that both parties proceed to a trial at law in the common pleas so that the value of the secret could be determined.<sup>122</sup> Although no trial resulted, there survives an opinion on the case signed by Charles Pepys (later lord chancellor) in 1825, detailing the aftermath of this hearing. Pepys (who had appeared as counsel for the trustee in the original hearing) records that after the hearing before Leach, the two parties approached Lord Eldon for his advice. Eldon 'stated it broadly to be his opinion that in the administration of a property of this nature, a court of equity had no jurisdiction to interfere but he threw out an intimation that he thought it was a matter which the family should settle if they possibly could among themselves and become as he termed it their own chancellor'.<sup>123</sup> The two sides agreed on arbitration, and the Pepys note details the award. W.S. Folgham was to produce a recipe for the ointment, which was to be placed 'in a small iron chest with a spring lock and without any key thereto which iron chest shall be immediately deposited in another iron chest having two locks and keys to it and upon the same being doubly locked ... the same iron chests shall be deposited in the hands of the said Trustees'. One key would belong to W.S. Folgham, the other to the trustees. Folgham would continue to prepare the ointment, but now he was only to receive a share of the net profits (forty per cent) for his trouble, rather than a share of the overall revenue. The remainder of the profits were to be shared equally between the five siblings. Upon his death, proprietorship would pass to his eldest surviving child or if he died without issue to whoever the trustees believed was best placed to work the secret for the benefit of the family. W.S. Folgham also had to enter a bond worth £5000, to be forfeit if he should ever divulge the secret. Ultimately, the secret passed to Stephen Green via his wife, and although precautions to guard the secret would be natural in any legal setting, a memorandum he wrote in 1872 indicates just

<sup>121</sup> Sim. & St. 403; 57 E.R. 159.

<sup>122</sup> Sim. & St. 407; 57 E.R. 163.

<sup>123</sup> An annotation alongside this observation, not in the hand of Pepys or the original scrivener but probably of other counsel, notes that 'We are not aware whether this application has been reported, if it has, the remarks of the Lord Chancellor are exceedingly important and showing that if the appeal had been in Hearing he would have dismissed it and upon a recent interview which Mr Church had with his Lordship ... he said distinctly that the suit could not be entertained and that he ought not therefore to make any order confirmatory of the award': LMA, B/SIN/010, f. 4.

how much attention was given to withholding the secret from servants. Whoever the memo was prepared for, was warned repeatedly to keep everything locked: 'Before leaving ... shut the window and double lock the door', 'During the whole of the process of mixing, the curtain in the office must be closely drawn so that the man cannot see what goes on in the front office and both doors are to be bolted that no caller or strangers should enter while the process is going on' and 'Make a practice of keeping the office door bolted when you are preparing the ingredients, or otherwise attending to the ointment, to prevent being surprised or interrupted'.<sup>124</sup>

There was one concerted attempt by an outsider to discover and exploit the secret in 1832. An important component of the ointment was 'Singleton's Acid' which was prepared on behalf of Stephen Green by the Society of Apothecaries. The composition of this acid was itself a secret and it was marked in the recipe book held by the society as a 'private recipe' that could only be supplied to Stephen Green.<sup>125</sup> Nonetheless, one Mary Ann Brock (who was known to Green, and had been in receipt of an annuity from his mother-in-law, Selina Folgham) was able to apply for and obtain the acid from Apothecaries Hall.<sup>126</sup> Immediately afterwards, Mary Ann and her husband George began to sell an ointment under the name of 'Doctor Johnson's Golden Ointment for the Eyes'.

Stephen Green responded in two ways. First, he reminded the Apothecaries of his exclusive right in the acid, and the managers 'finding this to be clearly a private recipe, regretted the occurrence and arranged as a safeguard in future that it should be more minutely marked in the book as the exclusive property of the Proprietor of the ointment'.<sup>127</sup> Green also entered a bill of complaint in chancery. While Green claimed that Mary Brock was not in possession of the full secret of the ointment, he was concerned that she had learnt at least something (in her youth she had lived in W.S. Folgham's household, her uncle by marriage) and had also 'purloin[ed] and secretly possess[ed] herself of divers private letters or copies of letters which had been written and sent by diverse persons ... acknowledging the good effects of the said genuine ointment', which she was now using as testimonials for her own ointment.<sup>128</sup>

Green applied for and obtained an injunction prohibiting the defendants 'from revealing, divulging or in any manner imparting the mode of preparing the said ointment or the ingredients thereof', as well as 'from selling or disposing of, or publishing for sale or disposition, any ointment under the name and with the Title of Doctor Johnson's Golden Ointment for the Eyes ... under the

<sup>124</sup>LMA, B/SIN/32 ff. 3, 5, 8.

<sup>125</sup>It is noteworthy that Green deemed the Society of Apothecaries to be reputable enough to entrust with the preparation of this acid in the first place: the society had been supplying chemicals to trade since 1682 and this was reported to be a very lucrative business for them: Penelope Hunting, *A History of the Society of Apothecaries*, Over Wallop, 1998, 160.

<sup>126</sup>LMA, B/SIN/016/2.

<sup>127</sup>Ibid.

<sup>128</sup>*Green v Brock*, C 13/1001/51 (Chancery 1832), m. 2.

penalty of two thousand pounds'.<sup>129</sup> This is probably the first instance where an injunction was obtained to enjoin someone from using or divulging a *trade secret* 'belonging' to someone with whom there had been no previous contractual obligation – although not the first instance of where the courts had protected *confidential information* from a third party (viz., *Evitt*). Still, injunctions were often awarded as a matter of course and could be dissolved at a hearing before the lord chancellor.<sup>130</sup> *Canham* would certainly have offered an apposite precedent for dissolving the injunction and it is uncertain whether Green could have maintained it in the face of action by Mary Brock.<sup>131</sup> This, however, did not occur, and there were no long term consequences: Brock was unable to use the acid to prepare the ointment, and was also unable to reverse engineer it and deduce its composition.<sup>132</sup> In a slight exaggeration, Green claimed that his 'exclusive right and property was confirmed in [the] cause of *Green v Brock*'<sup>133</sup> and printed multiple copies of the injunction order for general distribution – an 1874 note he wrote to Apothecaries Hall (despite the incident some forty years earlier, he still used them to prepare the acid), was written on the back of one these copies.<sup>134</sup>

## V. Conclusion

As was discussed in the introduction, while it may be an overstatement to describe *Moat* (1851) as foundational, it does form the point at which a disparate range of cases were first discussed in the same context, beginning to coalesce into something that might be characterized as a substantive body of law relating to trade secrecy. While this paper has not presented an exhaustive survey of the case law discussed in *Moat* (it has not, for example, discussed copyright in unpublished writings), it has sought to trace out the specific origins of trade secrecy law.<sup>135</sup> From one perspective, it appears to have emerged during the seventeenth century, developing from restraint of trade and contract; by the time of *Jenks* (1682) and *Burdett* (1693) a basic contractual structure for the exchange of trade secrets had already been established.<sup>136</sup>

<sup>129</sup>LMA, B/SIN/016/1.

<sup>130</sup>See text at note 94.

<sup>131</sup>See text at note 107.

<sup>132</sup>LMA, B/SIN/018.

<sup>133</sup>LMA, B/SIN/022.

<sup>134</sup>LMA, B/SIN/029/3.

<sup>135</sup>Although for an overview see Bently, 'Historical Development of the Law of Confidentiality' and Megan Richardson, Michael Bryan, Martin Vranken, Katy Barnett, *Breach of Confidence: Social Origins and Modern Developments*, Cheltenham, 2012.

<sup>136</sup>Very tentatively, though, rights to unpublished manuscripts may also have been emerging in the early seventeenth century. In his foreword to a 1641 pamphlet, the lawyer and MP William Hakewill, complained 'of a great injury lately done mee, by the extreme false printing of a final treatise of my composing, stolen out without my consent ... I thought good for the preventing of the like wrong to stay the forwardnesse of the printer until I had reviewed and corrected it by mine own notes. For my part, I should have been contented altogether to have restrained it, if I might, but now seeing it must

Employers were also using contract law to restrain their servants from making use of the secrets they would learn in the course of their employ for their subsequent benefit. The timing makes sense: this was a society that was urbanizing and commercializing at an accelerating pace, increasing the value of confidential information, but also one where outside of the law, alternative means of protecting secrets (i.e. the guilds) were receding.

From this starting point, though, the emergence of trade secrecy law was not a straightforward or linear affair. In particular, the courts were anxious to ensure that confidentiality would not become a cloak for fraudulent behaviour and/or secrets that were useless (an especial concern in both *Jenks* [1682] and *Burdett* [1693]). Agreements of the sort that were upheld in *Carter* (1838) can be seen as a belated solution. Similarly, Lord Eldon's decision in *Newbery* (1817), as well as the views expressed publicly in *Williams* (1817) and privately in *Green* (1823) placed the very lawfulness of transactions concerning secrets in doubt; he seems to have been particularly concerned that if trade secrets became too attractive vis-à-vis patents, this would jeopardize the disclosure function of patents which had an important role in the diffusion of new technology at that time. On balance, though, Eldon's views on the subject can probably be viewed as an aberration. These transactions were, after all, of very long standing, and decisions such as *Bryson* (1822) re-affirmed their validity.<sup>137</sup> Thereafter the scope and sophistication of these agreements continued to increase. In particular, in *Green* (1832), we see the first steps towards extending obligations to confidentiality in trade secrets to third parties that had never been under a formal contract to do so – something which courts had been previously wary of doing (e.g. *Williams* [1817]). Similarly, the employee's obligation to confidentiality became an *implicit* condition of their employment. In brief, the logic of protecting trade secrets had emerged about two centuries prior to *Moat*, and was considerably refined in the preceding decades.

## Disclosure statement

No potential conflict of interest was reported by the author.

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abroad, I shall not be ashamed to let it beare my name': William Hakewill, *The Libertie of the Subject: Against the Pretended Power of Impositions*, London, 1641, foreword.

<sup>137</sup>Citing *Bryson*, *The Law Magazine* in 1839 observed that 'there is nothing to prevent a person from *selling a secret* in a trade, and restraining himself from using if for ever afterwards' (original italics), 310.